



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2939: qualified facilities; tax credit; amount

MARTINEZ FLOOR AMENDMENT

1. Alters the additional tax credit amount of \$250,000 as applicable to total qualifying investments of *less than* \$2,000,000,000 rather than \$2,000,000,000 *or more*.

ADDITIONAL COW
MARTINEZ FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2939
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.
~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 41-1512, Arizona Revised Statutes, is amended to
3 read:

4 41-1512. Qualified facility income tax credits;
5 qualification; definitions

6 A. For taxable years beginning from and after December 31, 2012,
7 income tax credits are allowed for expanding or locating a qualified
8 facility in this state pursuant to sections 43-1083.03 and 43-1164.04.
9 Only capital investments in a qualified facility that are made not more
10 than thirty-six months before submitting an application for preapproval
11 are included in the computation of the credit.

12 B. To be eligible for the income tax credits, a taxpayer must apply
13 to the authority, on a form prescribed by the authority, for preapproval
14 of the business as qualifying for the credits. The application must
15 include:

16 1. The applicant's name, address, telephone number and federal
17 taxpayer identification number or numbers.

18 2. The name, address, telephone number and email address of a
19 contact person for the applicant.

20 3. The address of the site where the qualified facility will be
21 located.

22 4. A detailed description of the qualified facility and fixed
23 capital assets.

24 5. An estimate of the capital investment and number of employment
25 positions with job duties associated with the qualified facility,
26 including:

27 (a) A schedule of qualifying investments.

1 (b) A list of full-time employment positions, the estimated number
2 of employees to be hired for the positions each year during the first five
3 years of operation and the annual wages for each position, calculated
4 without employee-related benefits.

5 6. A nonrefundable processing fee in an amount determined by the
6 authority.

7 7. Other information as required by the authority to determine
8 eligibility for the income tax credits and the amount of income tax
9 credits, as prescribed by this section.

10 8. An affirmation, signed by an authorized executive representing
11 the business, that the applicant:

12 (a) Agrees to furnish records of expenditures for qualifying
13 investments to the authority on request.

14 (b) Will continue in business at the qualified facility for five
15 full calendar years after postapproval for the credit, other than for
16 reasons beyond the control of the applicant.

17 (c) Agrees to furnish to the authority information regarding the
18 amount of income tax credits claimed each year.

19 (d) Authorizes the department of revenue to provide tax information
20 to the authority pursuant to section 42-2003 for the purpose of
21 determining any inconsistency in information furnished by the applicant.

22 (e) Agrees to allow site visits and audits to verify the
23 applicant's continuing qualification and the accuracy of information
24 submitted to the authority.

25 (f) Consents to the adjustment or recapture of any amount of income
26 tax credit due to noncompliance with this section.

27 9. Letters of good standing from the department of revenue stating
28 that the applicant is not delinquent in paying taxes.

29 C. The applicant may qualify for the income tax credits pursuant to
30 section 43-1083.03 or 43-1164.04, as applicable, if:

31 1. The applicant makes new capital investment in this state after
32 June 30, 2012 in a qualified facility that is completed in a taxable year
33 beginning from and after December 31, 2012.

34 2. At least fifty-one percent of the net new full-time employment
35 positions with job duties associated with the qualified facility pay a
36 wage that equals or exceeds one hundred twenty-five percent, or one
37 hundred percent in the case of a qualified facility in a rural location,
38 of the median annual wage for production occupations in this state, as
39 determined by the most recent annual Arizona commerce authority
40 occupational wage and employment estimates issued before the preapproval
41 is issued pursuant to subsection I of this section.

42 3. All net new full-time employment positions include health
43 insurance coverage for the employees for which the applicant pays at least
44 sixty-five percent of the premium or membership cost.

45 D. Final eligibility for an income tax credit is subject to any
46 additional requirements prescribed by section 43-1083.03 or 43-1164.04, as
47 applicable.

1 E. An applicant may separately apply and qualify with respect to
2 investments for separate expansions of a qualified facility.

3 F. The amount of the income tax credit to be preapproved by the
4 authority to a qualifying applicant is ten percent of the lesser of:

5 1. The amount the applicant has projected in total qualifying
6 investment in the qualified facility.

7 2. ~~Either~~ ANY OF THE FOLLOWING:

8 (a) If the total qualifying investment is less than \$2,000,000,000,
9 \$200,000 for each net new full-time employment position projected by the
10 applicant that has job duties associated with a qualified facility.

11 (b) If the total qualifying investment is \$2,000,000,000 or more,
12 \$300,000 for each net new full-time employment position projected by the
13 applicant that has job duties associated with a qualified facility.

14 (c) IF THE TOTAL QUALIFYING INVESTMENT IS [LESS THAN]
15 \$2,000,000,000 [OR MORE], \$250,000 FOR EACH NET NEW FULL-TIME EMPLOYMENT
16 POSITION PROJECTED BY THE APPLICANT THAT HAS JOB DUTIES ASSOCIATED WITH A
17 QUALIFIED FACILITY THAT IS IN A RURAL LOCATION.

18 G. Beginning with income tax credits allocated for 2013, an
19 approved credit:

20 1. Must be claimed on a timely filed original income tax return,
21 including extensions.

22 2. Must be claimed in five equal installments as provided by
23 section 43-1083.03 or 43-1164.04.

24 H. The authority shall establish a process for qualifying and
25 preapproving applicants for the income tax credits. The authority shall
26 not preapprove applicants as qualifying for credits under this section for
27 any taxable year beginning from and after December 31, 2030. Preapproval
28 is based on:

29 1. Priority placement established by the date that the applicant
30 files its initial application with the authority.

31 2. The availability of income tax credit capacity under the dollar
32 limit prescribed by subsection J of this section.

33 I. Within thirty days after receiving a complete and correct
34 application, the authority shall review the application to determine
35 whether the applicant satisfies all of the criteria prescribed by this
36 section and either preapprove the project as qualifying for the purposes
37 of an income tax credit or provide reasons for its denial. The authority
38 shall send copies of each preapproval to the department of revenue.

39 J. The authority shall not preapprove income tax credits under this
40 section that combined would exceed \$125,000,000 in any calendar year,
41 except as provided by this subsection and subsection K of this section. A
42 preapproved amount applies against the dollar limit for the year in which
43 the application was submitted regardless of whether the initial
44 preapproval period extends into the following year or years. The
45 authority shall not preapprove income tax credits under this section for
46 any taxpayer in excess of \$30,000,000 in any calendar year.

1 K. The authority shall reallocate the amount of income tax credits
2 that are voluntarily relinquished under subsection L of this section, that
3 lapse under subsection M of this section or that lapse under subsection P
4 of this section. The reallocation shall be to other businesses that
5 applied under this section in the original credit year based on priority
6 placement. Once reallocated, the amount of the credit applies against the
7 dollar limit of the original credit year regardless of the year in which
8 the reallocation occurs.

9 L. A taxpayer may voluntarily relinquish unused credit amounts in
10 writing to the authority.

11 M. Preapproval under this section lapses, the application is void
12 and the amount of the preapproved income tax credits does not apply
13 against the dollar limit prescribed by subsection J of this section if,
14 within twelve months after preapproval, the business fails to provide to
15 the authority documentation of its expenditure of \$250,000 in qualifying
16 investment or, if the period over which the qualifying investment will be
17 made exceeds twelve months, documentation of additional expenditures as
18 required in this subsection for each twelve-month period.

19 N. After October 31 of each year, if the authority has preapproved
20 the maximum calendar year income tax credit amount pursuant to subsection
21 J of this section, the authority may accept initial applications for the
22 next calendar year, but the preapproval of any application pursuant to
23 this subsection shall not be effective before the first business day of
24 the following calendar year.

25 O. Before an applicant applies for postapproval under subsection P
26 of this section, the applicant must enter into a written managed review
27 agreement with the chief executive officer of the authority that
28 establishes the requirements of a managed review to be conducted under
29 this subsection at the applicant's expense. The managed review must be
30 conducted by a certified public accountant who is selected by the
31 applicant, who is licensed in this state or who has a limited reciprocity
32 privilege pursuant to section 32-725 and who is approved by the chief
33 executive officer. The certified public accountant and the firm the
34 certified public accountant is affiliated with shall not regularly perform
35 services for the applicant or its affiliates. The managed review shall
36 include an analysis of the applicant's invoices, checks, accounting
37 records and other documents and information to verify its base investment
38 and other requirements prescribed by section 43-1083.03 or 43-1164.04 to
39 confirm the amount of credit. The certified public accountant shall
40 furnish written findings of the managed review to the chief executive
41 officer. The chief executive officer shall review the findings and may
42 examine records and perform other reviews that the chief executive officer
43 considers necessary to verify that the managed review substantially
44 conforms to the terms of the managed review agreement. The chief
45 executive officer shall accept or reject the findings of the managed
46 review. If the chief executive officer rejects all or part of the managed

1 review, the chief executive officer shall provide written reasons for the
2 rejection.

3 P. When the qualified facility begins operations, a business that
4 was preapproved for income tax credits under this section shall apply to
5 the authority in writing for postapproval of the credits and submit
6 documentation certifying the total amount and dates of the qualifying
7 investments and identifying the fixed capital assets associated with the
8 qualified facility incurred after June 30, 2012 through the date of
9 application for postapproval. For taxable years beginning from and after
10 December 31, 2012, the authority shall provide postapproval to a business
11 that has met the eligibility requirements of this section and shall notify
12 the department of revenue that the business may claim an income tax credit
13 pursuant to section 43-1083.03 or 43-1164.04. If the amount of qualifying
14 investment actually spent is less than the amount preapproved for income
15 tax credits, the preapproved amount not incurred lapses and does not apply
16 against the dollar limit prescribed by subsection J of this section for
17 that year. The department of revenue shall not allow an income tax credit
18 under section 43-1083.03 or 43-1164.04 that exceeds the amount of the
19 postapproval for the project under this subsection. For the purposes of
20 this subsection, "begins operations" means the qualified facility opens
21 for public business.

22 Q. The authority may rescind an applicant's postapproval if the
23 business no longer meets the terms and conditions required for qualifying
24 for the credit. The authority may give special consideration, or allow
25 temporary exemption from recapture of the credit, in the case of
26 extraordinary hardship due to factors beyond the control of the qualifying
27 business.

28 R. If the authority rescinds an applicant's preapproval or
29 postapproval under subsection Q of this section, the authority shall
30 notify the department of revenue of the action and the conditions of
31 noncompliance. If the department of revenue obtains information
32 indicating a possible failure to qualify and comply, the department shall
33 provide that information to the authority. The department of revenue may
34 require the business to file appropriate amended tax returns reflecting
35 any recapture of the credit under section 43-1083.03 or 43-1164.04.

36 S. Preapproval and postapproval of an applicant for the purposes of
37 income tax credits under this section do not constitute or imply
38 compliance with any other provision of law or any regulatory rule, order,
39 procedure, permit or other measure required by law. To maintain
40 qualification for a credit under this section, a business must separately
41 comply with all environmental, employment and other regulatory measures.

42 T. For five years after postapproval of an income tax credit under
43 this section, in any action involving the liquidation of the business
44 assets or relocation out of state, this state claims the position of a
45 secured creditor of the business in the amount of the credit the business
46 received pursuant to section 43-1083.03 or 43-1164.04. The transfer of

1 part or all of a company's assets that are then leased back by the company
2 is not considered a liquidation under this section.

3 U. Any information gathered from a business for the purposes of
4 this section is considered to be confidential taxpayer information and
5 shall be disclosed only as provided in section 42-2003, subsection B,
6 paragraph 12, except that the authority shall publish the following
7 information in its annual report:

8 1. The name of each business and the amount of income tax credits
9 preapproved for each qualifying investment.

10 2. The amount of income tax credits postapproved with respect to
11 each qualifying investment.

12 V. The authority shall:

13 1. Keep annual records of the information provided on applications
14 for qualified facilities. These records shall reflect a percentage
15 comparison of the annual amount of monies credited to qualified facilities
16 to the estimated amount of monies spent in this state in the form of
17 qualifying investments.

18 2. Maintain annual data on growth in this state of qualified
19 facilities and related employment and wages.

20 3. Not later than April 30 following each calendar year, prepare
21 and publish a report summarizing the information collected pursuant to
22 this subsection. The authority shall make copies of the annual report
23 available to the public on request.

24 W. The authority shall adopt rules and prescribe forms and
25 procedures as necessary for the purposes of this section. The authority
26 and the department of revenue shall collaborate in adopting rules as
27 necessary to avoid duplication and inconsistencies while accomplishing the
28 intent and purposes of this section.

29 X. For the purposes of this section:

30 1. "Capital investment" means an expenditure to acquire, lease or
31 improve property that is used in operating a business, including land,
32 buildings, machinery, equipment and fixtures.

33 2. "Facility" means a single parcel or contiguous parcels of owned
34 or leased land in this state, the structures and personal property
35 contained on the land or any part of the structures occupied by the owner.
36 Parcels that are separated only by a public thoroughfare or right-of-way
37 are considered to be contiguous.

38 3. "Headquarters" means a principal central administrative office
39 where primary headquarters related functions and services are performed,
40 including financial, personnel, administrative, legal, planning and
41 similar business functions.

42 4. "Manufacturing" means fabricating, producing or manufacturing
43 raw or prepared materials into usable products, imparting new forms,
44 qualities, properties and combinations. Manufacturing does not include
45 generating electricity.

1 5. "Qualified facility" means a facility in this state that devotes
2 at least eighty percent of the property and payroll at the facility to one
3 or more of the following:

4 (a) Qualified manufacturing.

5 (b) Qualified headquarters.

6 (c) Qualified research.

7 6. "Qualified headquarters" means a global, national or regional
8 headquarters for a taxpayer that derives at least sixty-five percent of
9 its revenue from out-of-state sales.

10 7. "Qualified manufacturing" means manufacturing tangible products
11 in this state if at least sixty-five percent of the product is at least
12 one of the following:

13 (a) Directly sold out of state.

14 (b) Directly sold to one or more qualified facilities, regardless
15 of whether the qualified facilities are preapproved by the authority
16 pursuant to this section.

17 8. "Qualified research" has the same meaning prescribed by section
18 41(d) of the internal revenue code, as defined by section 43-105, except
19 that the research must be conducted by a taxpayer involved in
20 manufacturing that derives at least sixty-five percent of its revenue from
21 out-of-state sales.

22 9. "Qualifying investment" means investment in land, buildings,
23 machinery, equipment and fixtures for expansion of an existing qualified
24 facility or establishment of a new qualified facility in this state after
25 June 30, 2012 for a facility completed in a taxable year beginning from
26 and after December 31, 2012. If the qualified facility is a build-to-suit
27 facility leased to the taxpayer, qualifying investment includes the costs
28 prescribed in this paragraph that are spent by the third-party developer
29 with respect to the qualified facility. Qualifying investment does not
30 include relocating an existing qualified facility in this state to another
31 location in this state without additional capital investment of at least
32 \$250,000.

33 10. "Rural location" means a location that is within the boundaries
34 of tribal lands or a city or town with a population of less than fifty
35 thousand persons or a county with a population of less than eight hundred
36 thousand persons.

37 Sec. 2. Section 43-1083.03, Arizona Revised Statutes, is amended to
38 read:

39 43-1083.03. Credit for qualified facilities

40 A. For taxable years beginning from and after December 31, 2012
41 through December 31, 2030, a credit is allowed against the taxes imposed
42 by this title for qualifying investment and employment in expanding or
43 locating a qualified facility in this state. To qualify for the credit,
44 after June 30, 2012 the taxpayer must invest in a new qualified facility
45 or expand an existing qualified facility in this state and produce new
46 full-time employment positions where the job duties are associated with
47 the location of the qualifying investment. The taxpayer must meet the

1 employee compensation and employee health benefit requirements prescribed
2 by section 41-1512.

3 B. The amount of the credit is computed as follows:

4 1. Ten percent of the lesser of:

5 (a) The total qualifying investment in the qualified facility.

6 (b) ~~Either~~ ANY OF THE FOLLOWING:

7 (i) If the total qualifying investment is less than \$2,000,000,000,
8 \$200,000 for each net new full-time employment position that has duties
9 associated with the qualified facility.

10 (ii) If the total qualifying investment is \$2,000,000,000 or more,
11 \$300,000 for each net new full-time employment position that has duties
12 associated with the qualified facility.

13 (iii) IF THE TOTAL QUALIFYING INVESTMENT IS [LESS THAN]
14 \$2,000,000,000 [OR MORE], \$250,000 FOR EACH NET NEW FULL-TIME EMPLOYMENT
15 POSITION PROJECTED BY THE APPLICANT THAT HAS JOB DUTIES ASSOCIATED WITH A
16 QUALIFIED FACILITY THAT IS IN A RURAL LOCATION AS DEFINED IN SECTION
17 41-1512.

18 2. The amount of the credit shall not exceed the postapproval
19 amount determined by the Arizona commerce authority under section 41-1512,
20 subsection P.

21 3. Subject to subsections G and J of this section:

22 (a) The credit amount computed under paragraph 1 of this subsection
23 is apportioned, and the taxpayer shall claim the credit in five equal
24 annual installments in each of five consecutive taxable years.

25 (b) The taxpayer may claim all five annual installments of a credit
26 that was preapproved before January 1, 2031 by the Arizona commerce
27 authority notwithstanding any intervening repeal or other termination of
28 the credit.

29 C. To claim the credit the taxpayer must:

30 1. Conduct a business that qualifies under section 41-1512.

31 2. Receive preapproval and postapproval from the Arizona commerce
32 authority pursuant to section 41-1512.

33 3. Submit to the department a copy of a current and valid
34 certification of qualification issued to the taxpayer by the Arizona
35 commerce authority.

36 D. To be counted for the purposes of the credit, an employee must
37 have been employed with job duties associated with the qualified facility
38 for at least ninety days during the taxable year in a permanent full-time
39 employment position of at least one thousand seven hundred fifty hours per
40 year. An employee who is hired during the last ninety days of the taxable
41 year shall be considered a new employee during the next taxable year. To
42 be counted for the purposes of the credit during the first taxable year of
43 employment, the employee must not have been previously employed by the
44 taxpayer within twelve months before the current date of hire. The terms
45 of employment must comply in all cases with the requirements of section
46 41-1512 and be certified by the Arizona commerce authority.

1 E. Co-owners of a business, including partners in a partnership,
2 members of a limited liability company and shareholders of an
3 S corporation, as defined in section 1361 of the internal revenue code,
4 may each claim only the pro rata share of the credit allowed under this
5 section based on the ownership interest. The total of the credits allowed
6 all owners of the business may not exceed the amount that would have been
7 allowed for a sole owner of the business.

8 F. If the allowable tax credit for a taxable year exceeds the
9 income taxes otherwise due on the claimant's income, or if there are no
10 state income taxes due on the claimant's income, the amount of the claim
11 not used as an offset against income taxes shall be paid to the taxpayer
12 in the same manner as a refund under section 42-1118. Refunds made
13 pursuant to this subsection are subject to setoff under section 42-1122.
14 If the department determines that a refund is incorrect or invalid, the
15 excess refund may be treated as a tax deficiency pursuant to section
16 42-1108.

17 G. Except as provided by subsection H of this section, if, within
18 five taxable years after first receiving a credit pursuant to this
19 section, the certification of qualification of a business is terminated or
20 revoked under section 41-1512, other than for reasons beyond the control
21 of the business as determined by the Arizona commerce authority, the
22 taxpayer is disqualified from credits under this section in subsequent
23 taxable years. On a determination that the taxpayer has committed fraud
24 or relocated outside of this state within five taxable years after first
25 receiving a credit pursuant to this section, the credits allowed the
26 taxpayer in all taxable years pursuant to this section are subject to
27 recapture pursuant to this subsection. This subsection applies only in
28 the case of the termination or revocation of a certification of
29 qualification under section 41-1512. This subsection does not apply if,
30 in any taxable year, a taxpayer otherwise does not qualify for or fails to
31 claim the credit under this section. The recapture of credits is computed
32 by increasing the amount of taxes imposed in the year following the year
33 of termination or revocation by the full amount of all credits previously
34 allowed under this section.

35 H. A taxpayer who claims a credit under section 43-1074 may not
36 claim a credit under this section with respect to the same full-time
37 employment positions.

38 I. The department of revenue shall adopt rules and prescribe forms
39 and procedures as necessary for the purposes of this section. The
40 department of revenue and the Arizona commerce authority shall collaborate
41 in adopting rules as necessary to avoid duplication and contradictory
42 requirements while accomplishing the intent and purposes of this section.

43 J. Each taxable year after the postapproval of the credit under
44 section 41-1512, subsection P, when the taxpayer files the taxpayer's
45 income tax return, the taxpayer shall:

46 1. Notify the department, on a form prescribed by the department,
47 of any full-time employment position for which a credit was claimed under

1 this section and that was vacant for more than one hundred fifty days
2 after the date the full-time employment position was originally filled to
3 the end of that taxable year. The period that a full-time employment
4 position was vacant may not include the period before the full-time
5 employment position was filled for the first time.

6 2. Reduce the portion of the credit claimed for the taxable year
7 pursuant to subsection B, paragraph 3 of this section by \$4,000 for each
8 full-time employment position reported pursuant to paragraph 1 of this
9 subsection.

10 Sec. 3. Section 43-1164.04, Arizona Revised Statutes, is amended to
11 read:

12 43-1164.04. Credit for qualified facilities

13 A. For taxable years beginning from and after December 31, 2012
14 through December 31, 2030, a credit is allowed against the taxes imposed
15 by this title for qualifying investment and employment in expanding or
16 locating a qualified facility in this state. To qualify for the credit,
17 after June 30, 2012 the taxpayer must invest in a new qualified facility
18 or expand an existing qualified facility in this state and produce new
19 full-time employment positions where the job duties are associated with
20 the location of the qualifying investment. The taxpayer must meet the
21 employee compensation and employee health benefit requirements prescribed
22 by section 41-1512.

23 B. The amount of the credit is computed as follows:

24 1. Ten percent of the lesser of:

25 (a) The total qualifying investment in the qualified facility.

26 (b) ~~Either~~ ANY OF THE FOLLOWING:

27 (i) If the total qualifying investment is less than \$2,000,000,000,
28 \$200,000 for each net new full-time employment position that has job
29 duties associated with the qualified facility.

30 (ii) If the total qualifying investment is \$2,000,000,000 or more,
31 \$300,000 for each net new full-time employment position that has job
32 duties associated with the qualified facility.

33 (iii) IF THE TOTAL QUALIFYING INVESTMENT IS [LESS THAN]
34 \$2,000,000,000 [OR MORE], \$250,000 FOR EACH NET NEW FULL-TIME EMPLOYMENT
35 POSITION PROJECTED BY THE APPLICANT THAT HAS JOB DUTIES ASSOCIATED WITH A
36 QUALIFIED FACILITY THAT IS IN A RURAL LOCATION AS DEFINED IN SECTION
37 41-1512.

38 2. The amount of the credit shall not exceed the postapproval
39 amount determined by the Arizona commerce authority under section 41-1512,
40 subsection P.

41 3. Subject to subsections G and J of this section:

42 (a) The credit amount computed under paragraph 1 of this subsection
43 is apportioned, and the taxpayer shall claim the credit in five equal
44 annual installments in each of five consecutive taxable years.

45 (b) The taxpayer may claim all five annual installments of a credit
46 that was preapproved before January 1, 2031 by the Arizona commerce

1 authority notwithstanding any intervening repeal or other termination of
2 the credit.

3 C. To claim the credit the taxpayer must:

4 1. Conduct a business that qualifies under section 41-1512.

5 2. Receive preapproval and postapproval from the Arizona commerce
6 authority pursuant to section 41-1512.

7 3. Submit to the department a copy of a current and valid
8 certification of qualification issued to the taxpayer by the Arizona
9 commerce authority.

10 D. To be counted for the purposes of the credit, an employee must
11 have been employed with job duties associated with the qualified facility
12 for at least ninety days during the taxable year in a permanent full-time
13 employment position of at least one thousand seven hundred fifty hours per
14 year. An employee who is hired during the last ninety days of the taxable
15 year shall be considered a new employee during the next taxable year. To
16 be counted for the purposes of the credit during the first taxable year of
17 employment, the employee must not have been previously employed by the
18 taxpayer within twelve months before the current date of hire. The terms
19 of employment must comply in all cases with the requirements of section
20 41-1512 and be certified by the Arizona commerce authority.

21 E. Co-owners of a business, including corporate partners in a
22 partnership and members of a limited liability company, may each claim
23 only the pro rata share of the credit allowed under this section based on
24 the ownership interest. The total of the credits allowed all owners of
25 the business may not exceed the amount that would have been allowed for a
26 sole owner of the business.

27 F. If the allowable tax credit for a taxable year exceeds the
28 income taxes otherwise due on the claimant's income, or if there are no
29 state income taxes due on the claimant's income, the amount of the claim
30 not used as an offset against income taxes shall be paid to the taxpayer
31 in the same manner as a refund under section 42-1118. Refunds made
32 pursuant to this subsection are subject to setoff under section 42-1122.
33 If the department determines that a refund is incorrect or invalid, the
34 excess refund may be treated as a tax deficiency pursuant to section
35 42-1108.

36 G. Except as provided by subsection H of this section, if, within
37 five taxable years after first receiving a credit pursuant to this
38 section, the certification of qualification of a business is terminated or
39 revoked under section 41-1512, other than for reasons beyond the control
40 of the business as determined by the Arizona commerce authority, the
41 taxpayer is disqualified from credits under this section in subsequent
42 taxable years. On a determination that the taxpayer has committed fraud
43 or relocated outside of this state within five taxable years after first
44 receiving a credit pursuant to this section, the credits allowed the
45 taxpayer in all taxable years pursuant to this section are subject to
46 recapture pursuant to this subsection. This subsection applies only in
47 the case of the termination or revocation of a certification of

1 qualification under section 41-1512. This subsection does not apply if,
2 in any taxable year, a taxpayer otherwise does not qualify for or fails to
3 claim the credit under this section. The recapture of credits is computed
4 by increasing the amount of taxes imposed in the year following the year
5 of termination or revocation by the full amount of all credits previously
6 allowed under this section.

7 H. A taxpayer that claims a credit under section 43-1161 may not
8 claim a credit under this section with respect to the same full-time
9 employment positions.

10 I. The department of revenue shall adopt rules and prescribe forms
11 and procedures as necessary for the purposes of this section. The
12 department of revenue and the Arizona commerce authority shall collaborate
13 in adopting rules as necessary to avoid duplication and contradictory
14 requirements while accomplishing the intent and purposes of this section.

15 J. Each taxable year after the postapproval of the credit under
16 section 41-1512, subsection P, when the taxpayer files the taxpayer's
17 income tax return, the taxpayer shall:

18 1. Notify the department, on a form prescribed by the department,
19 of any full-time employment position for which a credit was claimed under
20 this section and that was vacant for more than one hundred fifty days
21 after the date the full-time employment position was originally filled to
22 the end of that taxable year. The period that a full-time employment
23 position was vacant may not include the period before the full-time
24 employment position was filled for the first time.

25 2. Reduce the portion of the credit claimed for the taxable year
26 pursuant to subsection B, paragraph 3 of this section by \$4,000 for each
27 full-time employment position reported pursuant to paragraph 1 of this
28 subsection.

29 Sec. 4. Applicability

30 This act applies to taxable years beginning from and after December
31 31, 2026.

32 Enroll and engross to conform

33 Amend title to conform

TERESA MARTINEZ

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